VALUATION

We recommend SELL on Mallplaza with a target price of CLP 2,077 per share, 41.6% below the CLP 3,555 close of 30-Sep-26 (−39.6% total return including dividends). Our target sits even below the stock's 52-week low (CLP 2,470).

A PRICE NO METHOD REACHES

In twelve months the stock rose from CLP 2,470 to 4,700 and now trades at CLP 3,555. None of our methods reaches that price: the DCF ranges from CLP 1,391 to 2,329 even with nominal WACC ±100 bp and nominal g between 2.5% and 4.0%, and the most favourable multiples fall short too (Figure 27). We give the DCF an 80% weight because Mallplaza is, at heart, a rent collector: 81.4% of revenue is rent and 93% of that is fixed. The 20% on multiples tests the model against what the market pays today, but with caution: Chile has only two direct peers, and neither captures the company's expansion plan or debt path.

Figure 27 sums up the thesis in one image. The APV, which values the firm without debt and adds the tax shields separately, gives CLP 1,895, only 2% above the DCF: the result does not depend on how we model financing. Multiples range from CLP 2,152 (common-set median) to 3,294 (Chilean median), and NTM EV/EBITDA and EV/EBIT fall between CLP 2,914 and 3,098. Everything lands to the left of the price; only the stock's own one-year trading range reaches it. Even the Chilean median multiple, the most favourable case for the stock, sits 7% below the price.

THE STORY IS IN THE DISCOUNT RATE

We project the firm's free cash flow (FCFF) in nominal CLP from 30-Jun-26, with an explicit horizon to 2031E and a terminal value that explains 78% of EV (Appendix 15). The CLP 1,859 per share is CLP 543 of explicit cash flows and CLP 1,926 of terminal value, less CLP 610 of net debt and minorities: the result depends, above all, on the discount rate.

That rate moves with the capital structure. Mallplaza uses its debt capacity to grow, as in 2024 after buying Open Plaza Peru (3.78x): we assume net debt/EBITDA rises from 2.36x to 3.5x by 2031, with 25 bp more real cost per turn, and that the new debt (CLP 1.46 trillion) funds all capex while operating cash is distributed to shareholders. Nominal WACC thus moves from 10.54% in 2H26E to 10.41% at the terminal (7.32% and 7.20% real): a nominal Ke of 11.93% (8.67% real; USD Rf of 4.98%, re-levered beta of 1.14 from a six-peer median of 0.00, ERP 4.14% and a revenue-weighted CRP of 1.41%) and a nominal after-tax Kd of 5.11%, based on the 3.6% real (UF) coupon of the latest issue (Appendix 19).

We build Ke in dollars because its three inputs are in that currency and nominal: the US Treasury Rf, the implied market risk premium published by Damodaran and country risk, which we weight by revenue. We then convert it to pesos with the differential between expected inflation in Chile (3.0%, the central bank target) and in the US (2.24%, 10-year breakeven). Beta is unlevered with Hamada (six regional peers) and re-levered each period (NaN in 2H26E, 1.14 at the terminal).

The first signal is the asset (firm) IRR: the single rate that equates FCFF and terminal value to the enterprise value the market pays at CLP 3,555 (EV of CLP 9.12 trillion). It is 7.61% nominal (4.48% real in UF), 280 bp below the nominal WACC (272 bp in real terms) and only ~88 real bp above the real cost of its debt (Figure 28).

Asset (firm) and new-project IRR vs WACC: nominal CLP and real (UF)

Buying at the price of	Nominal	Real	WACC nom./real	Gap nom./real
Market: CLP 3,555	7.61%	4.48%	10.41% / 7.20%	−280 / −272 bp
Our target: CLP 2,077	9.88%	6.68%	10.41% / 7.20%	−53 / −51 bp
Our DCF: CLP 1,859	10.43%	7.21%	10.41% / 7.20%	+2 / +2 bp
New project: 1 m² (cohort)	**7.98%**	**4.84%**	**10.41% / 7.20%**	**−243 / −236 bp**

Asset IRR: the single rate that equates FCFF and terminal value to the enterprise value paid; at the DCF value it equals the WACC. New project: cash flow of 1 m² with the expansion cost, ramp and margin, maintenance and working capital. Real = (1 + nom.) / (1 + 3.0%) − 1. The implied WACC in Figure 34 (7.60%) shifts the whole WACC curve and the single-rate IRR is 7.61%: two readings of the same idea. Source: model v4, TIR_Implicita and TIR_Proyecto sheets.

GROWTH DOES NOT RESCUE THE PRICE

We are not pessimistic about operations. We project a 79.7% EBITDA margin in 2026E (excluding revaluations, below the 80.5% LTM), a cash tax rate converging from 16.8% to 27% by 2030, the company's full dated pipeline (170,200 m² and USD 613 MM, including 46,500 m² of "other projects" in Chile opening in 2028) and, from 2029, 27,075 new m² per year, the historical organic pace. The consensus of 13 analysts expects 12-month EBITDA only ~3% above ours: the disagreement with the market is not in the cash flows.

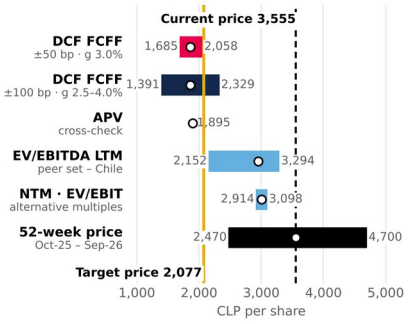
Capex follows the company's plan and is split into maintenance and IT (5.5% of revenue, CLP 42–53 bn per year) and incremental capex: the pipeline under way (CLP 534 bn in 2H26E–2028E) and continuous expansion (CLP 95–104 bn per year from 2028, at USD 3,603 per m² and a revenue ramp of 35%, 90% and 100%). Total capex peaks at CLP 336 bn in 2027E and settles near 16% of revenue from 2029E (Figure F7). Working capital (15.6% of revenue) requires CLP 7.3–9.9 bn per year and, if it were zero, the target would rise only 1.3% (Figure 29; Appendix 16).

Two assumptions deserve an explanation. The cash tax rate starts at 16.8% because the company currently uses tax goodwill and accumulated losses; we assume those shields run out and the rate reaches 27% in 2030. It is real cash savings (lower current tax), not accounting: CLP 62 per share undiscounted; without it the target falls 2.1% (Figure 29). And working capital grows with revenue, not with new m².

Price and sales. For a rental operator the price is rent per m², and tenants' sales reach revenue only through variable rent (5.7% of revenue). So 1 pp more nominal same-store rent growth in 2027–28 adds CLP 45 to the DCF value per share, 18 times what 1 pp more tenant-sales growth adds (CLP 2.6); 1 pp more real rent growth in 2029–31 adds CLP 57. Better prices can translate into higher sales and variable rent when occupancy and traffic sustain them, so in the bull case we move both levers at once (rent +9.4%, sales +9.9%): even so, the target stays 18% below the price.

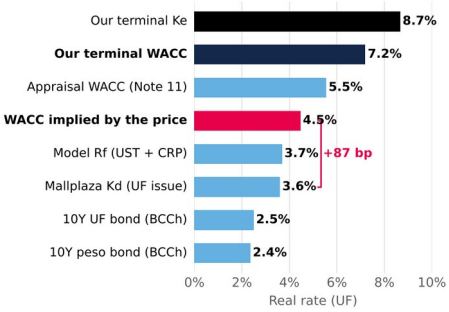
The problem is the return on growth. Each new m² yields 7.3% real before tax on its cost (expansion mix: 67% Chile, 33% Peru), a real after-tax RONIC of 5.3%, below a real WACC of 7.2%. The IRR of a new m², with capex, ramp, maintenance and working capital, is 4.84% real (7.98% nominal): 236 bp below the real WACC and 243 bp below the nominal one; to match it, revenue per m² would have to be 1.54 times the model's. Expansion adds revenue but not value: that is why terminal value grows only with inflation (nominal g of 3.0%, 0% real) and a higher g reduces value (Figure 30). Assuming more growth would not close the gap with the price; it would widen it. The explicit horizon therefore includes the capex and maturation of projects opening through 2032 (108,301 m² mature

Figure 27: No method justifies the current price (CLP per share)



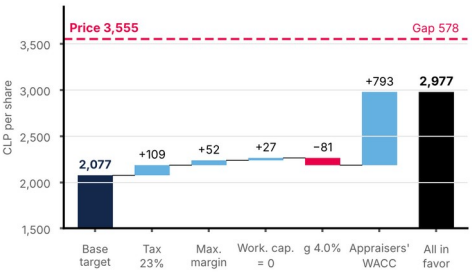
Intraday 52-week range (01-10-25 to 30-09-26; low 10-10-25, high 27-04-26). Source: Team analysis; Bloomberg.

Figure 28: At CLP 3,555 the firm earns almost the same as its debt (real rates, UF)



Real rates in UF. Source: Central Bank of Chile (30-06-26); Mallplaza; Team analysis.

Figure 29: With every strong assumption in our favor the target reaches CLP 2,977, still 16% below the price

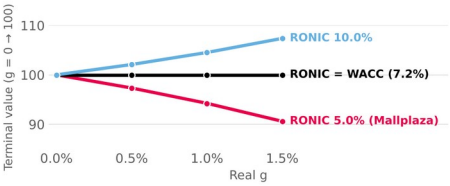


Assumption (each on its own)	Δ target	Δ%
Long-run tax 27% → 23% (new law)	+109	+5.2%
EBITDA margin at historical high	+50	+2.4%
Working capital = 0	+27	+1.3%
Nominal terminal growth g 3.0% → 4.0%	−110	−5.3%
Appraisers' WACC (8.72% nominal)	+656	+31.6%
Effective cost of debt (4.33%)	−35	−1.7%
No tax-goodwill shield (27% from now)	−43	−2.1%

Cumulative waterfall in the order shown; the table gives each assumption's effect alone. Target price = 80% DCF + 20% multiples. Source: DCF v4 replica; Team analysis.

Figure 30: Growing below the WACC destroys value: real g = 0%

Nominal g	Real g	Reinvestment	DCF value	Δ
3.0%	**0.0%**	**0.0%**	**1,859**	**±0.0%**
3.5%	0.5%	9.2%	1,796	−3.4%
4.0%	1.0%	18.3%	1,722	−7.4%



Top: DCF value by nominal g. Bottom: relative terminal value by RONIC. Source: Team analysis.

in the terminal year), but from there terminal incremental capex is zero and only maintenance remains.

WHY EXPAND IF IT DOES NOT CREATE VALUE?

If growth earns less than the cost of capital, what pushes management to keep going? We put forward four hypotheses, to be verified against the annual report and financial statements. First, accounting versus economics: debt is 100% UF-denominated at ~3.6% real, below what a new asset yields, so every debt-financed project improves FFO, EBITDA and profit even if it does not cover the return required on total capital. Second, revaluation: under IAS 40 appraisals use real rates of 5.5–6.4%, below the WACC, and each new asset is appraised above its cost and generates accounting profit. Third, the controlling shareholder: if the group (Falabella, to be confirmed) has anchor stores or other businesses in those malls, a new m² serves the group even if it earns little for Plaza, an agency conflict with minority shareholders (to be verified in the related-party notes). Fourth, compensation: if bonuses depend on GLA or EBITDA rather than ROIC, expanding is rational for management (to be verified). There are defensible strategic reasons (scarce land, network advantages); it is a capital-allocation risk, not a contradiction with a good business. The break-even for expansion is a real WACC of 5.3% (8.5% nominal); the WACC implied by the price (7.60% nominal, 4.5% real) is below that level: if the market were right, expanding would create value.

PEERS CONFIRM THE DIRECTION, NOT THE MAGNITUDE

Mallplaza trades at 16.8x EV/EBITDA, above the Chilean median (15.7x) and far above Brazilian peers (9.0x). The gap with Brazil is not about quality but about rates: with local real bonds of 2.5% in Chile and 8.1% in Brazil (NTN-B), the cap-rate spread (EBITDA/EV yield; with UF-indexed rents it is compared with real rates) over the local rate is similar in both countries, 385 bp in Chile and 302 bp in Brazil (Figure 31). That is why we weight the Chilean median 70% and the common-set median 30% (which includes IRSA; we exclude Fibra Danhos because of its FIBRA regime): 14.4x, which leads to CLP 2,951 per share. The weighting matters little: from 0% to 100% Chile, the target price only moves from CLP 1,916 to 2,144 (Appendix 17).

We chose the set with the beta criterion: IRSA with caution (IAS 29 reporter; one analyst on NTM) and without Fibra Danhos (FIBRA: distributes 95% of taxable income; no beta in the WACC). We use EV/EBITDA, neutral to leverage and revaluation (IAS 40), with Bloomberg net debt (CLP 1,311,569 MM for Mallplaza; the gap to the CLP 1,285,740 MM in the DCF is CLP 25,828 MM of IFRS 16 leases).

Quality does not justify the premium either. Mallplaza trades 29% above Cencosud Shopping, yet its EBITDA per m² is only 1.9% higher (see Industry); only at Parque Arauco's multiple (18.4x), which runs 5.7x leverage, would it be worth more than its price. Every multiple, from NTM EV/EBITDA (CLP 2,914) to P/BV (CLP 3,171), sits below the price (Figure 32): they confirm the stock is expensive, and the DCF gives the magnitude. We exclude P/E (CLP 8,644), distorted by property revaluation. In prices: Chilean median CLP 3,294 (−7%), Cencosud CLP 2,621 and only Parque Arauco CLP 3,967. Defending CLP 3,555 with multiples requires assuming Mallplaza deserves the valuation of the most leveraged peer in the group.

WHAT THE MARKET WOULD HAVE TO BELIEVE

The price implies an EV of CLP 9.12 trillion, 69% above ours, and a real cap rate of 6.0% (LTM EBITDA / EV, comparable with real rates because rents are UF-indexed), against 10.1% in our DCF, 6.4% for Chilean peers and 7.5% at book value (Figure 33). The market pays 1.61 times an equity that is already at fair value, appraised with a real discount rate of ~5.55% (Note 11); the real IRR the price leaves, 4.5%, is below that rate: it pays more than the appraisers themselves. To justify CLP 3,555, nominal WACC would have to be 281 bp lower (7.60%, 4.5% real; Figure 34); even with the appraisers' rate (5.55% real, 8.72% nominal), the DCF would be CLP 2,679. (The implied WACC shifts the whole WACC curve; the single-rate IRR, 7.61%, is the same idea and also gives CLP 3,555.)

WHY THE MARKET PAYS CLP 3,555

In twelve months the stock went from a low of CLP 2,470 (10-Oct-25) to a high of CLP 4,700 (27-Apr-26), a ~90% rise the business does not explain: EBITDA grew 5–10% a year. The push came from outside. The Chilean market rose 56% in 2025, with a change of government and expectations of lower taxes, and malls returned ~48% (LarrainVial) and re-rated together. MSCI EM Mid Cap inclusion (25-Nov-25) forced passive funds to buy ~USD 110 MM, some 15 times daily volume (Morgan Stanley). And analysts extrapolated growth: JPMorgan projects FFO growing ~11% a year to 2028, double our ~6% (2026E–2028E). The fall to CLP 3,555 (−24% from the high) coincides with weaker-than-expected results (EBITDA +5.2% in 1Q26), JPMorgan's target cut and the 10-year UST rising to 5.22%. It is a partial correction: at that price the stock trades 91% above the DCF, 33% above the value at the appraisers' rate (CLP 2,679) and at 1.61x book value. Figures attributed to analysts come from their own notes and intermediate prices are approximate (Figure R1).

OUR VALUE VERSUS THE CONSENSUS

Bloomberg shows 14 sources with an average recommendation of 2.85 (1 buy, 10 hold, 2 sell) and a 12-month target price of CLP 4,111, 49.5% above ours; the lowest is Goldman Sachs (sell, CLP 3,377) and the range runs from 3,377 to 4,600. Four reasons explain the gap (Figure R3). The discount rate is the main one: the price requires a nominal WACC of 7.60%, 281 bp below our 10.41%, and since terminal value is 78% of EV, each point of rate weighs heavily. Multiples do not get there either: the 20% on multiples gives CLP 2,951, 17% below the price, so it is not all WACC. The horizon also counts: targets are 12-month and ours is as of 30-Jun-26; at our nominal Ke of 11.93%, CLP 4,111 is worth ~CLP 3,673 today, so the gap narrows but does not close. And growth: if growth earns less than the WACC, our model penalises it, while the market probably values it at a return close to the cap rate. Targets followed the price (the stock rose 39% in 12 months) and we do not know their assumptions, only their targets.

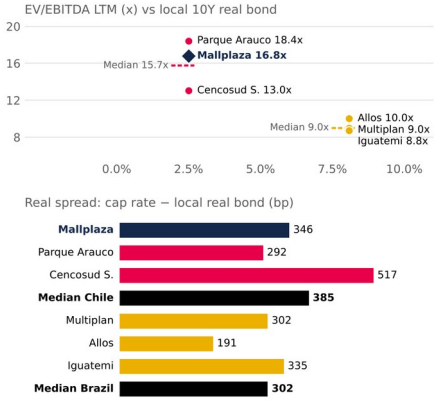
SCENARIOS: WHAT WOULD HAVE TO HAPPEN

We push the thesis to its extremes with three scenarios defined with the same levers as the Risks tornado (Figure T), instead of moving only the discount rate. Bear is everything going wrong at once: nominal WACC +100 bp and every operating lever at its historical minimum. Bull is everything going right: nominal WACC −100 bp, every lever at its historical maximum and a 23% tax rate (Reconstruction Law). Base is the model's central estimate. Same-store rent (price) and tenants' sales move together; nominal g stays at 3.0% in all three. Weighted 25/50/25% (team assumption, to be validated), the target price would be CLP 2,153.

Scenarios: bear (everything goes wrong), base (central) and bull (everything goes right)

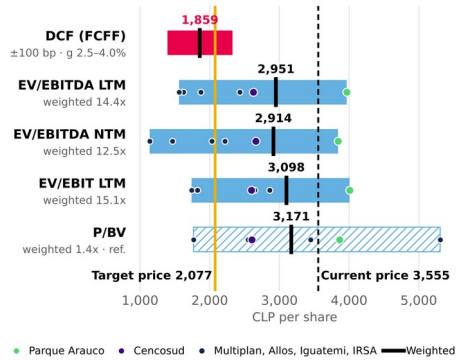
Assumption (all at once)	Bear	Base	
Terminal nominal WACC (all periods)	+100 bp (11.41%; 8.17% real)	10.41% (7.20% real)	−100 bp (9.4
EBITDA margin (historical quarterly min / max)	75.8%	79.7% (2026E)	
Consolidated occupancy	95.1%	95.6%	
Same-store rent 2027–28 (price, nominal)	3.7%	5.4%	
Tenant sales 2027–28 (variable rent, 5.7% of revenue)	3.7%	3.7%	
Real rent growth 2029–31	Note 11 floor	model	
Maintenance + IT capex (% of revenue)	6.6%	5.5%	
Long-run tax rate	27%	16.8% → 27%	
DCF value / 80/20 target price (CLP)	**1,190 / 1,542**	**1,859 / 2,077**	

Figure 31: Chile and Brazil charge the same premium: multiples differ because of rates



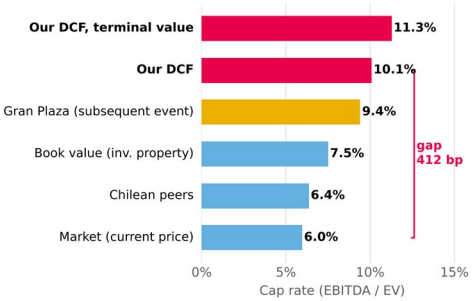
Real bond: 10-year UF (BCCh) and NTN-B 2035 (8.08%) at 30-06-26. Spread = cap rate (1 / EV/EBITDA) − real bond. IRSA omitted (IAS 29). Source: Bloomberg; BCCh; Team analysis.

Figure 32: Implied value per peer multiple vs DCF and price (CLP per share)



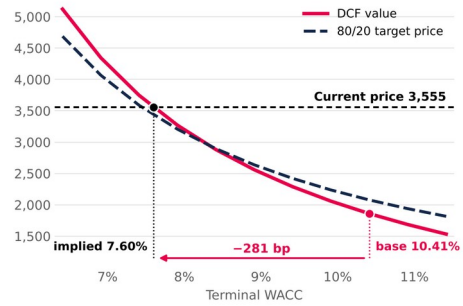
Target price = 80% DCF + 20% LTM EV/EBITDA. P/E excluded (includes revaluation). Source: Bloomberg (30-09-26); Team analysis.

Figure 33: The market pays 6.0%; our cash flows are worth 10.1% (real cap rate)



Cap rate = LTM EBITDA / EV, comparable with real rates (UF rents). Gran Plaza: subsequent event, not in the model. Source: Mallplaza; Bloomberg; DF; Team analysis.

Figure 34: The price requires a nominal WACC 281 bp lower



Terminal nominal WACC; all periods shift in parallel. Source: Team analysis.

Assumption (all at once)	Bear	Base	
Target price vs CLP 3,555	**−56.6%**	**−41.6%**	
Firm IRR at the price (nom.) / gap vs WACC	6.95% / −446 bp	7.61% / −280 bp	8.51% / −90 bp
Probability (team assumption)	25%	50%	

Operating levers are the historical extremes of the Risks tornado; nominal WACC and g; rent (price) and sales move together. Terminal nominal g 3.0% in all three. Weighted 25/50/25%: DCF CLP 1,953, target price CLP 2,153 (−39.4%). Source: DCF v4 replica (Appendix 18); Team analysis.

The result is robust: even with everything in its favour the target price (CLP 2,915) does not reach the quote. The firm's IRR at the market price barely changes across scenarios (table) and always sits below each one's WACC (446, 280 and 90 nominal bp): not even the bull leaves a margin of safety. The APV (CLP 1,895), an Rf based on the peso bond (~CLP 2,449) and other debt targets (DCF of CLP 1,820 to 1,897) lead to the same conclusion (Appendix 18).

The APV also says how much the debt is really worth. Of its CLP 1,895 per share, CLP 1,630 is the unlevered firm and CLP 265 the tax shields of the projected debt: levering up to 3.5x adds value, but even adding it does not approach the price. Our risk-free choice is the conservative one: using the nominal peso bond (5.43%) and also adding country risk would count Chile risk twice, and even so the target price would only rise to ~CLP 2,449, 31% below the price. With an expected dividend of ~CLP 69 per share (2.0%), the expected total return is −39.6%.

That is how we get to CLP 2,077 (80% × 1,859 + 20% × 2,951): 10.8x EBITDA, a real cap rate of 6.1% and 0.94x book value. Rolling the DCF forward to 30-Sep-26 would lift it to ~CLP 2,119, without changing the recommendation. The catalyst is the one that holds the thesis together: with the nominal 10Y UST at 5.22%, the highest since 2002, rates pressure cap rates, and each new appraisal moves them toward our value. We would be wrong if cap rates compress further on institutional demand for defensive assets, or if the market sustains a structural premium for Tier A assets (see Investment Risks). We will watch the Note 11 appraisal at each close, the spread on the company's UF bond versus its 3.6% real coupon (at the 4.33% real effective rate of the latest issue, nominal WACC would rise 12 bp and the target price would fall to CLP 2,042), the cut in corporate tax to 23% (+5.2% to the target price, not yet included) and the AAA rating, which would probably come under pressure at 3.5x net debt/EBITDA.